

The Directors of British American Tobacco Kenya Limited are pleased to announce the unaudited group results for the six months ended 30 June 2012 as shown below:

Key highlights:

- Revenue At Shs 9 billion
- Operating profit Up by 24%
- Contribution to government revenues Up by 31%
- Interim dividend At Shs 3.50 per share

The extracts of the financial statements are as follows:

Condensed Income Statement for the six months ended 30 June:

	2012 Shs' m	2011 Shs' m
Revenue	9,053	9,096
Operating profit	2,127	1,715
Finance costs	(120)	(52)
Profit before tax	2,007	1,663
Income tax expense	(602)	(498)
Profit after tax	1,405	1,165
Dividend	350	350
Basic and diluted earnings per share (Shs)	14.05	11.65

Condensed Balance Sheet as at 30 June

	2012 Shs' m	2011 Shs' m
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	1,064	1,108
Retained earnings	3,053	2,721
Shareholders' funds	5,117	4,829
Non-current liabilities	1,970	924
	7,087	5,753
Assets		
Non-current assets	6,813	6,372
Working capital		
Current assets	7,974	7,416
Current liabilities	7,700	8,035
Net working capital	274	(619)
	7,087	5,753

Condensed Cash Flow Statement for the six months ended 30 June:

	2012 Shs' m	2011 Shs' m
Cash generated from operations	556	470
Net interest paid	(120)	(52)
Tax paid	(797)	(674)
Net cash from operating activities	(361)	(256)
Net cash used in investing activities	(366)	(313)
Net cash used in financing activities	(2,459)	(1,362)
Decrease in cash & cash equivalents	(3,186)	(1,931)
At start of period	699	(415)
At end of period	(2,487)	(2,346)

Condensed Statement of Changes in Equity for the six months ended 30 June 2012

	Share capital Shs' m	Revaluation Shs' m	Retained earnings Shs' m	Total Shs' m
At 1 January 2011	1,000	1,108	3,006	5,114
Net profit	-	-	1,165	1,165
Final dividend for 2010	-	-	(1,450)	(1,450)
At 30 June 2011	1,000	1,108	2,721	4,829
At 1 January 2012	1,000	1,064	4,348	6,412
Net profit	-	-	1,405	1,405
Final dividend for 2011	-	-	(2,700)	(2,700)
At 30 June 2012	1,000	1,064	3,053	5,117



BRITISH AMERICAN TOBACCO

Overview:

Overall revenue remained stable at Shs 9 billion relative to the six months to 30 June 2011. This reflects the impact of higher revenues from domestic and export cigarette business offset by lower shipments of cut rag (semi processed leaf) arising from a lower demand level in the first half of 2012. Export cigarettes revenues increased as a result of a 12% growth in volumes offset by the exchange rate impact of a stronger shilling relative to the prior period whilst domestic cigarette revenues grew due to improved mix and pricing. Contribution to Government revenues from Excise tax, VAT, Corporation tax and PAYE increased to Shs 6 billion, a 31% increase compared to the same period last year mainly due to higher excise tax payments.

Operating profit increased by 24% due to the improved domestic and export revenues coupled with a lower overhead cost base offset by the impact of lower cut rag revenue. Interest expenses were higher reflecting higher interest rates and the timing of borrowings in the first half of 2012.

We continue to focus on initiatives in collaboration with key stakeholders aimed at curbing the level of illicit trade in cigarettes. These efforts together with a stable and optimal excise structure will continue to safeguard the sustainability of industry and Government revenues.

Dividend

The Directors have recommended an interim dividend of Shs 3.50 per Shs 10 ordinary share. The interim dividend shall be paid on 7 September 2012 to shareholders on the register at the close of business on 10 August 2012, subject to withholding tax.

Nairobi
5 July 2012

By Order of the Board
RT Ngobi
Company Secretary